

Shemar Electric 603530.SH 603530 CH

Global Markets Research
17 August 2026

EQUITY: Electrical Equipment

1H26 results in line; overseas expansion on track

Maintain Buy; lower TP to CNY74.80, implying 58.8% upside

1H26 results in line; gross margins improved across key products

According to the company's 1H26 results, revenue rose 27.0% y-y to CNY890mn and net profit increased 34.0% y-y to CNY210mn. In 2Q26, revenue/net profit grew 22.5%/26.6% y-y, slowing from 1Q26, which we believe mainly reflected the delays in revenue recognition. Overall, 1H26 results were in line with our expectations. We attribute the faster net profit growth mainly to product upgrades, improved gross margins and tighter cost control. Overall gross margin rose 3.0pp y-y to 47.4%, while gross margins for composite external insulation for substations, rubber seals and composite external insulation for transmission lines increased 0.3pp/4.8pp/8.1pp y-y to 47.3%/58.8%/18.3%. Looking into 2H26, considering raw material cost pressures and potentially higher overseas expansion expenses, we expect profitability to moderate slightly from 1H26 levels. We maintain our 2026F gross margin/net margin forecasts at 46.6%/23.2% and our full-year revenue and net profit forecasts.

Further progress in Europe; overseas capacity build-out continues

According to the company's 1H26 report, it won framework procurement contracts for transmission line composite insulators from the UK's National Grid and Belgium's transmission system operator Elia. We believe these wins further validate its product quality and ability to meet the technical requirements of major European grid customers, supporting further market expansion. The company has also obtained investment approval and a business license for its Vietnam plant, where production lines are being built, and signed a lease for its US plant. We believe its overseas manufacturing footprint should help mitigate trade-related risks and support more sustainable international growth.

Maintain Buy; lower TP to CNY74.80, implying 58.8% upside

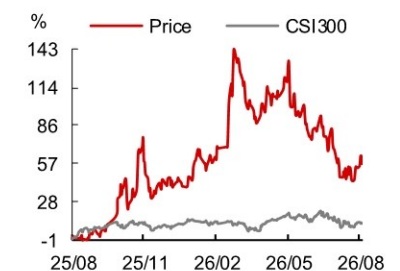
Given that 1H26 results were broadly in line with our expectations, with improving gross margins across key products and continued overseas expansion, we maintain our 2026-28F revenue at CNY2,531mn/CNY3,359mn/CNY4,091mn and net profit at CNY588mn/CNY802mn/CNY990mn. For valuation, we lower our target P/E to 55x from 62x, mainly to reflect the recent sector-wide valuation pullback, while maintaining the relative premium to peers broadly unchanged. Our target multiple remains at a clear premium to the peer-average 2026E P/E of 32x, down from 36x previously, reflecting our expectations for the company to deliver higher earnings growth and ROE than the peer average. Based on our unchanged 2026F EPS forecast of CNY1.36, we lower our TP to CNY74.80 from CNY84.32, implying 58.8% upside; maintain Buy. The stock currently trades at 34.6x 2026F P/E. **Key downside risks:** product quality issues, FX fluctuations and raw-material price volatility.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	1,721	2,531	2,531	3,359	3,359	4,091	4,091
Reported net profit (mn)	432	588	588	802	802	990	990
Normalised net profit (mn)	419	585	585	802	802	990	990
FD normalised EPS	0.97	1.35	1.36	1.86	1.86	2.29	2.29
FD norm. EPS growth (%)	38.7	39.4	39.4	37.1	37.2	23.6	23.4
FD normalised P/E (x)	48.5	-	34.8	-	25.3	-	20.5
EV/EBITDA (x)	30.4	-	25.2	-	19.1	-	15.6
Price/book (x)	9.9	-	9.6	-	8.1	-	6.8
Dividend yield (%)	0.7	-	1.0	-	2.0	-	2.4
ROE (%)	24.0	27.8	27.8	31.9	31.9	32.9	32.9
Net debt/equity (%)	14.7	net cash	net cash	net cash	net cash	net cash	net cash

Source: Wind, company data, Nomura estimates

Rating	Buy
Remains	
Target price	CNY 74.80
Reduced from	CNY84.32
Closing price	CNY 47.11
14 Aug 2026	
Implied upside	+58.8%
Market Cap (USD mn)	2,996.1
ADT (USD mn)	27.0

Relative performance chart



Source: Gildata

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Key data on Shemar Electric

Performance

(%)	1M	3M	12M		
Absolute (CNY)	0.5	-25.7	60.2	M cap (USDmn)	2,996.1
Absolute (USD)	0.6	-25.1	68.4	Free float (%)	20.0
Rel to CSI 300	3.2	-20.6	48.4	3-mth ADT (USDmn)	27.0

Source: Gildata

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	1,345	1,721	2,531	3,359	4,091
Cost of goods sold	-758	-926	-1,350	-1,787	-2,153
Gross profit	587	795	1,181	1,572	1,939
SG&A	-242	-296	-518	-679	-835
Employee share expense					
Operating profit	366	506	687	936	1,155
EBITDA	440	589	802	1,054	1,272
Depreciation	-82	-90	-106	-115	-115
Amortisation					
EBIT	358	499	696	939	1,157
Net interest expense	7	5	-10	-4	-2
Associates & JCEs	0	0	0	0	0
Other income	13	4	34	46	53
Earnings before tax	365	508	686	935	1,155
Income tax	-55	-77	-98	-133	-164
Net profit after tax	311	432	588	802	991
Minority interests	0	0	0	0	0
Other items	0	0	0	0	-1
Preferred dividends					
Normalised NPAT	302	419	585	802	990
Extraordinary items	8	12	3	0	0
Reported NPAT	311	432	588	802	990
Dividends	-197	-147	-200	-401	-495
Transfer to reserves	113	285	388	401	495

Valuations and ratios

Reported P/E (x)	34.4	41.1	34.6	25.3	20.5
Normalised P/E (x)	35.3	42.3	34.8	25.3	20.5
FD normalised P/E (x)	67.2	48.5	34.8	25.3	20.5
Dividend yield (%)	1.0	0.7	1.0	2.0	2.4
Price/cashflow (x)	126.9	173.4	31.4	36.0	25.3
Price/book (x)	6.0	9.9	9.6	8.1	6.8
EV/EBITDA (x)	23.7	30.4	25.2	19.1	15.6
EV/EBIT (x)	56.0	41.1	29.0	21.5	17.2
Gross margin (%)	43.6	46.2	46.6	46.8	47.4
EBITDA margin (%)	32.7	34.3	31.7	31.4	31.1
EBIT margin (%)	26.6	29.0	27.5	28.0	28.3
Net margin (%)	23.1	25.1	23.2	23.9	24.2
Effective tax rate (%)	15.0	15.1	14.3	14.2	14.2
Dividend payout (%)	63.5	34.0	34.0	50.0	50.0
ROE (%)	17.5	24.0	27.8	31.9	32.9
ROA (pretax %)	15.9	19.5	22.4	23.8	24.7

Growth (%)

Revenue	40.2	27.9	47.1	32.7	21.8
EBITDA	84.1	34.1	36.1	31.4	20.7
Normalised EPS	102.2	38.9	39.5	37.2	23.4
Normalised FDEPS	102.2	38.7	39.4	37.2	23.4

Source: Wind, company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	440	589	802	1,054	1,272
Change in working capital	-238	-418	-63	-376	-330
Other operating cashflow	-42	-54	-93	-114	-139
Cashflow from operations	160	117	647	564	803
Capital expenditure	-92	-233	-99	-101	-6
Free cashflow	68	-116	548	463	797
Reduction in investments	-57	10	0	0	0
Net acquisitions	0	0	0	0	0
Dec in other LT assets	0	0	0	0	0
Inc in other LT liabilities	0	0	0	0	0
Adjustments	3	2	25	5	5
CF after investing acts	14	-104	573	468	802
Cash dividends	-197	-147	-200	-401	-495
Equity issue	52	2	0	0	0
Debt issue	101	362	18	49	0
Convertible debt issue					
Others	4	-298	-67	-17	-18
CF from financial acts	-41	-80	-249	-369	-513
Net cashflow	-27	-183	319	99	290
Beginning cash	410	383	200	518	617
Ending cash	383	200	518	617	907
Ending net debt	-282	263	-44	-94	-383

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	383	200	518	617	907
Marketable securities	91	82	82	82	82
Accounts receivable	648	862	1,208	1,607	1,954
Inventories	327	400	551	733	876
Other current assets	206	132	280	372	440
Total current assets	1,655	1,677	2,639	3,412	4,258
LT investments	0	0	0	0	0
Fixed assets	662	748	742	727	617
Goodwill	0	0	0	0	0
Other intangible assets	115	114	109	104	99
Other LT assets	45	96	80	80	80
Total assets	2,477	2,635	3,569	4,323	5,054
Short-term debt	101	250	262	310	310
Accounts payable	357	113	552	745	886
Other current liabilities	189	196	348	459	553
Total current liabilities	647	559	1,162	1,514	1,749
Long-term debt	0	213	213	213	213
Convertible debt					
Other LT liabilities	53	66	83	83	83
Total liabilities	700	839	1,458	1,810	2,045
Minority interest	0	0	0	0	1
Preferred stock					
Common stock	432	432	431	431	431
Retained earnings	943	1,178	1,561	1,962	2,457
Proposed dividends					
Other equity and reserves	402	186	119	119	119
Total shareholders' equity	1,777	1,796	2,111	2,513	3,008
Total equity & liabilities	2,477	2,635	3,569	4,323	5,054

Liquidity (x)

Current ratio	2.56	3.00	2.27	2.25	2.43
Interest cover	-	-	68.2	243.0	500.1

Leverage

Net debt/EBITDA (x)	net cash	0.45	net cash	net cash	net cash
Net debt/equity (%)	net cash	14.7	net cash	net cash	net cash

Per share

Reported EPS (CNY)	0.73	1.02	1.36	1.86	2.29
Norm EPS (CNY)	0.70	0.97	1.36	1.86	2.29
FD norm EPS (CNY)	0.70	0.97	1.36	1.86	2.29
BVPS (CNY)	4.11	4.16	4.89	5.82	6.97
DPS (CNY)	0.46	0.35	0.46	0.93	1.15

Activity (days)

Days receivable	145.6	158.0	147.2	150.9	156.7
Days inventory	128.8	141.3	126.8	129.3	134.5
Days payable	126.8	91.4	88.7	130.7	136.4
Cash cycle	147.6	207.9	185.4	149.5	154.8

Source: Wind, company data, Nomura estimates

Company profile

Founded in 1996, Shemar has long focused on new-material external insulation products and related grid solutions, while continuing to expand its global business footprint. The company has developed nine major product categories with technical performance at an internationally advanced level.

Valuation Methodology

Our target price of CNY74.80 is based on a 55x target 2026F P/E multiple and 2026F EPS of CNY1.36. We apply a premium to the peer valuation average to reflect our expectation that the company has relatively stronger profit growth outlook and higher ROE than peers. The stock's benchmark index is the CSI 300.

Risks that may impede the achievement of the target price

Key downside risks include product quality issues, exchange rate fluctuation risk and raw material price volatility.

ESG

According to the company's 2025 annual report, Shemar has been recognized as a national green factory and a national 5G factory. It has also participated in the drafting of 56 national, industry and State Grid enterprise standards.

Key charts and tables

Fig. 1: Shemar Electric – Valuation comparables

Ticker	Company name	Rating	TP (LC)	CP (LC)	Mkt cap (USDmn)	PE (x)			EPS CAGR 2026-28F	ROE (%)		
						2026F	2027F	2028F		2026F	2027F	2028F
603530 CH	Shemar Electric	Buy	74.80	47.11	2,994.12	34.6	25.3	20.5	32%	27.8	31.9	32.9
002028 CH	Sieyuan Electric	Buy	273.00	166.50	19,195.98	30.5	23.2	17.1	34%	22.4	23.7	25.3
688676 CH	Jinpan Smart Technology	Buy	121.55	70.22	4,756.50	44.9	34.3	25.3	40%	17.7	20.6	24.4
002270 CH	Huaming Power Equipment	Not Rated	-	20.11	2,655.22	21.6	17.8	14.3	21%	24.1	26.2	28.4
600312 CH	Pinggao Electric	Not Rated	-	19.53	3,904.16	18.7	15.5	13.4	21%	11.7	12.9	13.3
601179 CH	China XD Electric	Not Rated	-	13.51	10,202.23	44.8	36.4	30.6	21%	6.5	7.5	8.3
Average						32.1	25.4	20.2	27%	16.5	18.2	19.9

Note: Priced at close of 14 Aug 2026; Nomura estimates for rated stocks and Wind consensus estimates for not rated stocks; averages exclude Shemar.

Source: Wind, Nomura estimates

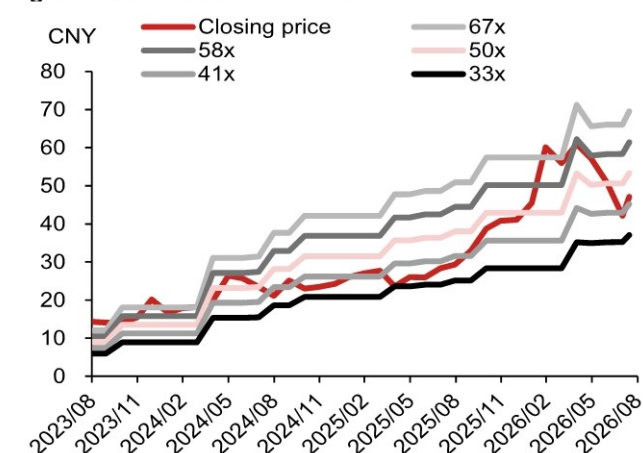
Fig. 2: Shemar Electric - Nomura estimates vs. Wind consensus

CNYmn	Nomura estimates			Wind consensus			Diff. (%)		
	2026F	2027F	2028F	2026E	2027E	2028E	2026F	2027F	2028F
Revenue	2,531	3,359	4,091	2,511	3,311	4,126	0.8%	1.4%	-0.8%
Net profit	588	802	990	594	810	1,030	-1.0%	-1.0%	-3.9%

Note: Wind consensus data as of 14 Aug 2026.

Source: Wind, Nomura estimates

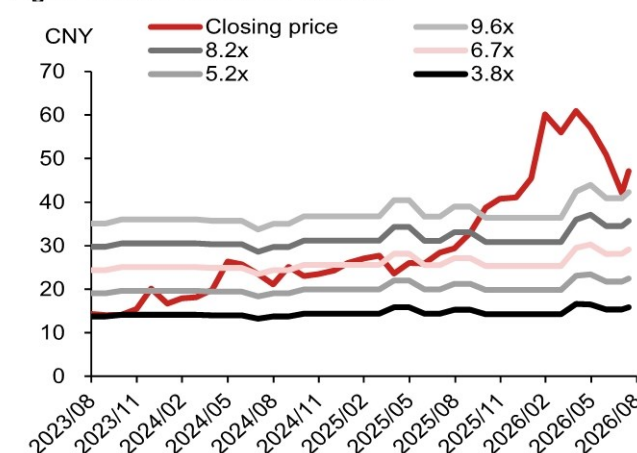
Fig. 3: Shemar Electric – P/E band



Note: Priced as of 14 Aug 2026

Source: Wind, Nomura

Fig. 4: Shemar Electric – P/B band



Note: Priced as of 14 Aug 2026

Source: Wind, Nomura

Appendix A-1

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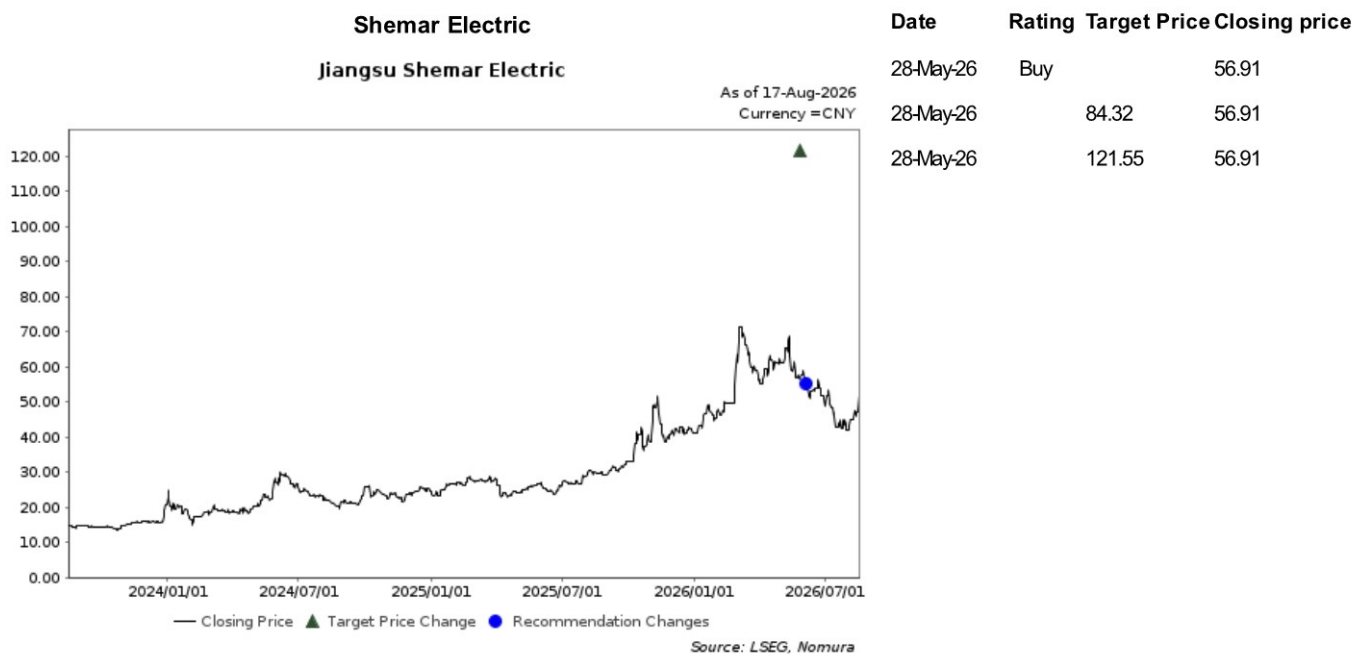
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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Shemar Electric	603530 CH	CNY 51.82	17-Aug-2026	Buy	N/A	

Shemar Electric (603530 CH)

CNY 51.82 (17-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

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Risks that may impede the achievement of the target price Key downside risks include product quality issues, exchange rate fluctuation risk and raw material price volatility.

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STOCKS

A rating of **'Buy'**, indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of **'Neutral'**, indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of **'Reduce'**, indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of **'Suspended'**, indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as **'Not rated'** or shown as **'No rating'** are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan**: please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at: <http://go.nomuranow.com/research/m/Disclosures>; **Global Emerging Markets (ex-Asia)**: MSCI Emerging Markets ex-Asia, unless otherwise stated in the valuation methodology; **Japan**: Russell/Nomura Large Cap.

SECTORS

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